

Where P2P Payment Apps Break: An Analysis of 124,087 CFPB Complaints

Khushi Jha | September 30, 2026 | SQL analysis of public CFPB complaint data

Bottom line: More than half of complaints about P2P apps and digital wallets are about money that left an account without the customer's real consent. Unauthorized transactions are the fastest growing problem, and how complaints end varies a lot by app. The biggest opportunity is to stop bad payments before they happen and to resolve disputes inside the app.

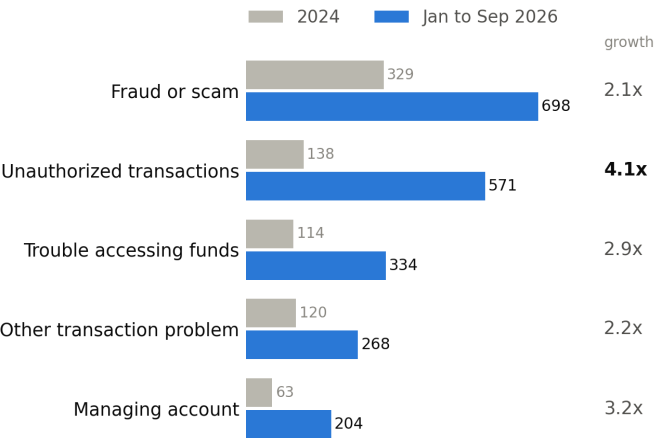
Data and method

I used the CFPB Consumer Complaint Database and kept two sub-products: domestic money transfers and mobile or digital wallets. That gave 124,087 complaints from January 2022 to September 2026. I compared 2024 (10,461 complaints) with January to September 2026 (20,894 complaints), using complaints per month so the two periods are comparable. I left 2025 out of the comparison. January 2025 alone had 48,238 complaints, 87.2% of them under one vague issue and 95.9% against Cash App or Zelle. This wave followed CFPB actions against Zelle's operator and three banks (Dec 20, 2024) and against Block (Jan 16, 2025), and complaint patterns did not return to normal until about August 2025.

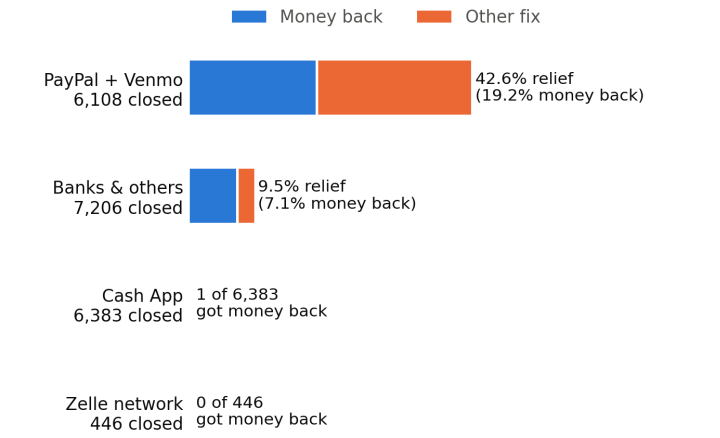
Three insights and what I would build

What the data shows	What I would build	How to measure it
1. Fraud and unauthorized transactions are the main problem. They made up 54.7% of complaints in Jan to Sep 2026 (11,428 of 20,894), about the same as 53.6% in 2024.	A pause and confirm step before risky payments, such as a first payment to a new person, an unusual amount or a new device, with a clear scam warning.	Fraud and scam complaints per 10K active users; scam loss rate
2. Unauthorized transactions are growing fastest. They went from 138 to 571 complaints per month (4.1x), while all complaints grew 2.7x (872 to 2,322 per month).	One tap to lock the account and open a dispute, with real time alerts and extra verification on new devices.	Unauthorized transaction complaints per month; time from alert to lock
3. Similar volume, very different outcomes. Cash App (6,490) and PayPal plus Venmo (6,341) had similar complaint volume in Jan to Sep 2026. PayPal plus Venmo gave money back in 19.2% of closed complaints. Cash App did in 1 of 6,383.	An in-app dispute tracker that shows status, timeline, the reason for the decision and how to appeal, so users do not need to go to a regulator.	Share of disputes escalated to the CFPB; relief rate; time to resolve

Complaints per month, top 5 issues: 2024 vs Jan to Sep 2026



How closed complaints ended, Jan to Sep 2026



Insights 1 and 2.

Insight 3. Outcomes as reported by companies. Zelle refunds usually come from the customer's bank, which is counted in Banks & others.

Caveats

CFPB complaints come from people who chose to escalate, not from all users, so I focus on shares and comparisons rather than raw volume. Some of the growth may come from more people knowing about the CFPB. Outcomes are reported by the companies. Venmo is filed under PayPal and cannot be separated. Zelle's operator shows 0% relief because refunds usually come from banks (7.1% money back in the Banks & others group). September 2026 is likely incomplete because some complaints are published late.

SQL, data and charts: github.com/khushi-jha02/cfpb-payments-analysis